Balance of Payments (BOP)

- A systematic record of all economic transactions between residents of a country and the rest of the world during a specific period (usually a year).
- It is a statement of accounting, always balancing in theory.
- Components:
  - **Current Account:** Records flow of goods, services, and unilateral transfers.
  - **Capital Account:** Records flow of capital (investments, loans) and changes in foreign exchange reserves.

Key Terms

- **Visible Items:** Physical goods (merchandise) that are exported and imported. They can be seen, touched, and measured.
  - Examples: Machinery, textiles, electronics, raw materials.
- **Invisible Items:** Services that are exported and imported. These are intangible.
  - Examples: Shipping, banking, insurance, tourism, software services, education.
- **Unilateral Transfers:** One-way transactions where something is given without any explicit quid pro quo (return).
  - Examples: Gifts, grants, donations, remittances, foreign aid.
- **Capital Transfers:** Transactions involving the transfer of ownership of fixed assets or forgiveness of debt.
  - Examples: Sale/purchase of land, cancellation of debt.

Balance of Trade (BOT)

- **Definition:** The difference between a country's exports and imports of visible goods only.
- Formula: $BOT = \text{Value of Merchandise Exports} - \text{Value of Merchandise Imports}$
- **Types of BOT:**
  - **Trade Surplus:** Exports of goods > Imports of goods.
  - **Trade Deficit:** Exports of goods < Imports of goods.
  - **Trade Balance:** Exports of goods = Imports of goods.
- **Scope:** A much narrower concept than BOP, as it excludes services, transfers, and capital flows.

Current Account

- Records transactions related to current income and expenditure.
- Does not create future claims or liabilities.
- **Components:**
  1. **Balance of Visible Trade (Merchandise Account):**
     - Exports of goods: Credit item (+), inflow of foreign exchange.
     - Imports of goods: Debit item (-), outflow of foreign exchange.
  2. **Balance of Invisible Trade (Services Account):**
     - **Non-Factor Services:**
       - Shipping, insurance, tourism, banking, communication, software.
       - Exports of services: Credit item (+).
       - Imports of services: Debit item (-).
     - **Factor Services (Income Account):**
       - Income earned from investments (e.g., dividends, interest, profits).
       - Compensation of employees (e.g., wages, salaries).
       - Receipts of factor income: Credit item (+).
       - Payments of factor income: Debit item (-).
  3. **Unilateral Transfers Account:**
     - Receipts (gifts, grants, remittances from abroad): Credit item (+).
     - Payments (gifts, grants, remittances to abroad): Debit item (-).
- **Current Account Balance:** Sum of all credit and debit items in these three categories.
- **Current Account Surplus:** Total credits > Total debits.
- **Current Account Deficit:** Total credits < Total debits.

Capital Account

- Records all international transactions that involve a change in the ownership of assets or liabilities.
- Creates future claims or liabilities.
- **Components:**
  1. **Foreign Investments:**
     - **Foreign Direct Investment (FDI):** Investment that gives the investor control over the asset.
       - Examples: Buying a foreign company, building a new factory abroad.
       - Inward FDI (receipts): Credit item (+).
       - Outward FDI (payments): Debit item (-).
     - **Portfolio Investment (FII/FPI):** Investment in financial assets without gaining control.
       - Examples: Buying shares, bonds, or other financial instruments.
       - Inward Portfolio Investment: Credit item (+).
       - Outward Portfolio Investment: Debit item (-).
  2. **External Borrowings and Lending (Loans):**
     - **External Commercial Borrowings (ECB):** Loans from foreign commercial banks and institutions.
     - **External Assistance (Aid):** Loans from foreign governments or international financial institutions (e.g., World Bank, IMF).
     - Loans received from abroad: Credit item (+).
     - Loans extended to abroad: Debit item (-).
  3. **Banking Capital Transactions:**
     - Refers to assets and liabilities of commercial banks.
  4. **Short-Term Trade Credits:**
     - Credits extended for international trade transactions for a short duration.
  5. **Non-Resident Deposits:**
     - Deposits made by non-residents in domestic banks.
- **Foreign Exchange Reserves (Official Reserves Account):**
  - Held by the Central Bank (e.g., RBI in India).
  - Used to finance balance of payments deficits or intervene in foreign exchange markets.
  - When reserves decrease: Credit item (+) (implies foreign currency used to bridge deficit).
  - When reserves increase: Debit item (-) (implies foreign currency accumulated due to surplus).
  - This is an "accommodating item" that helps balance the overall BOP.

Balancing the BOP

- Theoretically, the entire Balance of Payments account always balances.
- Total Credits = Total Debits.
- $Current Account Balance + Capital Account Balance + Errors \ \& \ Omissions = 0$
- **Errors & Omissions:** An item included to account for statistical discrepancies due to incomplete or inaccurate data collection.

Equilibrium and Disequilibrium in BOP

- **BOP Equilibrium:**
  - When the sum of autonomous transactions in the current and capital accounts is zero.
  - No net change in official foreign exchange reserves.
  - $Autonomous \text{ Receipts} = Autonomous \text{ Payments}$
- **BOP Disequilibrium:**
  - When there is a net surplus or deficit in autonomous transactions, leading to a change in official reserves.
  - **BOP Surplus:** Autonomous Receipts > Autonomous Payments.
    - Leads to an increase in foreign exchange reserves.
  - **BOP Deficit:** Autonomous Receipts < Autonomous Payments.
    - Leads to a decrease in foreign exchange reserves.

Autonomous vs. Accommodating Transactions

Feature	Autonomous Transactions	Accommodating Transactions
Motive	Undertaken for their own sake (e.g., profit maximization, better returns, higher consumption).	Undertaken to cover the deficit or surplus arising from autonomous transactions. Not for their own sake.
Nature	Independent of the country's BOP status.	Dependent on the country's BOP status. They are "financing" items.
Placement	Recorded "above the line" (before the overall balance is calculated).	Recorded "below the line" (after the overall balance is calculated, to make it zero).
Impact on Reserves	Lead to a BOP surplus or deficit, hence affecting official reserves.	Are transactions involving official reserves (or official borrowing) to bring BOP to zero.
Accounts Involved	Can occur in both Current Account (e.g., trade, services) and Capital Account (e.g., FDI, portfolio investment, private loans).	Primarily involve official reserves or official borrowing/lending (part of the capital account, but distinct in function).
Examples	• Export/Import of goods/services. • Foreign Direct Investment (FDI). • Portfolio Investment. • Private sector loans. • Remittances (unilateral transfers).	• Withdrawal from foreign exchange reserves (to finance deficit). • Addition to foreign exchange reserves (from surplus). • Borrowing from IMF or other official sources (to finance deficit).

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